



Code of Ethics for
Interactions with Healthcare Professionals

ACIST Medical Systems,
November 2015

INTRODUCTION

I. Purpose and Scope

ACIST Medical Systems (“ACIST” or “Company”) is engaged in the research, development, design, manufacturing, marketing, promotion, distribution and sale of medical devices and technologies. ACIST recognizes that interactions with healthcare professionals are critical to the success of its goals and business strategy and ACIST has adopted this Code of Ethics for Interactions with Healthcare Professionals (“Code of Ethics” or “Code”) to help govern the ethical conduct of its employees with those individuals and entities that, directly or indirectly, purchase, lease, recommend, use, arrange for the purchase, lease or use of, or prescribe, ACIST’s products. ACIST requires its employees to comply with all applicable laws and with ethical business practice when interacting with healthcare professionals. A variety of legal and ethical standards apply to the interactions between medical device companies and healthcare professionals and this Code of Ethics is intended to provide you with some guidance as to permitted behavior. ACIST and its most senior executives and managers are committed to conducting its affairs in accordance with this Code of Ethics. ACIST respects the obligations of health care professionals to avoid even the appearance of a conflict of interest and make independent decisions regarding their purchase of medical devices but ACIST also recognizes that there are many legitimate forms of interactions between ACIST representatives and health care professionals that can serve to help improve existing products, create innovative new products, advance medical science and improve patient care and safety.

II. Sales and Promotional Meetings; Business Courtesies and Entertainment

ACIST recognizes that its representatives need to meet with healthcare professionals to discuss product features, provide product demonstrations, engage in contract negotiations and other activities for the legitimate sale of ACIST products. During such meetings, it is appropriate for ACIST employees to pay for occasional hospitality only in the form of modest meals and receptions for health care professionals where legitimate product or business information will be exchanged or discussed. It is also appropriate for ACIST to pay for reasonable travel costs (e.g. reasonable meals, travel and lodging) for a health care professional to attend a non-portable equipment product demonstration, center of excellence to evaluate the product or a facility tour related to an ACIST product. ACIST will not provide business courtesies to a healthcare professional’s spouse or other guests unless they also have a *bona fide* professional interest in the information being shared at the meeting. A healthcare professional is always welcome to bring a spouse or guest(s) at his or her own expense.

Providing modest food items, such as bagels or pizza, for a health care professional’s staff is permitted so long as an ACIST representative is, at the same time, providing or discussing ACIST product or scientific or medical information (e.g. “lunch & learn”). “Dine and dash” programs, where food is dropped off and there is no presentation or exchange of medical/scientific information, are never appropriate.

Providing entertainment or recreational activities, such as golf outings or tickets to a sporting event or concert is permitted if such activity will serve a legitimate business purpose and an ACIST representative(s) will attend such event and the primary purpose of such meeting is to discuss the Company’s products or to exchange medical or scientific information, provided, that these types of activities must be approved in advance by the General Counsel, or in his absence, the Chief Operating Officer. Providing entertainment or recreational activities, such as golf outings or tickets to a sporting event or concert, where no ACIST representative will be present at the event and/or where no legitimate business purpose exists is never permitted.

III. Gifts and Practice-Related Items

Gifts to healthcare professionals, if offered, should be modest in value and should benefit patients, serve a genuine educational function, or be practice-related. This principle applies to gifts distributed in connection with speaker programs and consultant meetings, as well as sales calls.

No Quid Pro Quo and No Cash. *Quid Pro Quo* means giving something in exchange for getting something. Under no circumstances may ACIST representatives give gifts in exchange for (or to induce) a healthcare professional's using, prescribing, or recommending ACIST products for which reimbursement is available under a federal health care program. Payments in cash or cash equivalents (e.g., gift certificates, gift cards, coupons, vouchers) may not be offered, except as compensation for *bona fide* consulting services (discussed elsewhere).

Value and Nature of Gifts. Gifts that benefit patients, serve a genuine educational function, or are practice-related may be offered to healthcare professionals if they are modest in value and are offered only on an occasional basis. A "modest" value generally means gifts that have a fair market value of approximately \$100 or less. Gifts that are appropriate include "reminder items," such as pens or notepads with the ACIST logo, and other products associated with a health care practice. Slightly more expensive practice-related gifts (but not significantly more than \$100) such as medical textbooks or stethoscopes, may be given to a physician, but only on an infrequent or occasional basis. Gifts that do not benefit patients, serve a genuine educational function, or are not practice-related (e.g. wine or art) and are intended solely for the personal benefit of healthcare professionals should not be offered or provided, even if they are of minimal value (e.g., golf balls), except that gifts of modest value (e.g. flowers or gift basket) may be provided to a healthcare professional or to a healthcare professional's family upon significant life events such as birth, death or serious illness as long as they are consistent with the spirit of this Code of Ethics. In addition, gifts of minimal value (less than \$30) may be provided to a healthcare professional during the holiday season as long as they are consistent with the spirit of this Code.

Promotional Giveaways. Under no circumstances may ACIST employees or representatives offer gifts, trips, prizes, or the like, as part of a sweepstakes or similar promotion to healthcare professionals as an inducement for them to purchase, use, recommend, or prescribe any ACIST product or service that is reimbursable under a Federal health care program.

IV. Member Sponsored Product Training and Education

ACIST has a responsibility to make product education and training available to health care professionals. Such ACIST training programs and events should be conducted in a clinical, educational, conference or other settings, including a training facility or medical institution where "hands on" training in medical procedures are intended or in a hotel or other commercially available meeting facility conducive to the effective communication of information. ACIST may pay the reasonable travel and modest lodging costs incurred by the health care professional attending such ACIST program or event. ACIST may also provide the health care professional attending such program or event with hospitality in the form of a reception and modest meals. ACIST will not provide business courtesies to a healthcare professional's spouse or other guests unless they also have a *bona fide* professional interest in the information being shared at the meeting. A healthcare professional is always welcome to bring a spouse or guest(s) at his or her own expense.

V. Third Party Educational Conference Support and Research Grants

ACIST may provide grants to support *bona fide* educational, scientific, or policymaking activities that promote scientific knowledge, medical advancement, and the delivery of effective health care. These typically include support for conferences sponsored by national, regional, or specialty medical associations, grants to independent accredited CME providers, and grand rounds. Educational grants are usually made to independent third-party organizations without restrictions or conditions with respect to content or faculty. ACIST provides such grants only to organizations providing *bona fide* educational activities, not to individual physicians or physician practice groups. ACIST grants are typically limited to conference costs (e.g. the conference meals) or related modest hospitality (e.g. hosting a reception), or both. ACIST may make grants to conference sponsors for reasonable honoraria, travel, lodging and meals for health care professionals who are bona fide conference faculty members. Generally, funds should go to a program's sponsor to reduce the overall cost of the program. However, if the program to be sponsored is both educational and recreational, funding specific, educational portions of the program may be more appropriate. A written agreement must establish that ACIST does not have significant influence or influence over a sponsored program or its presenters. The CME provider must be independent and meet the ACCME Standards for Commercial Support of Continuing Medical Education.

Sales representatives may not make grants. Grant making functions are separate from sales and marketing functions. Grants are made based on established criteria which specifically exclude from consideration the value of volume of a grant recipient's anticipated purchases. There can be no connection between the amount of a grant and the amount of business such funding is expected to generate. The amount of any grant is determined without regard to past or expected volume or value of referrals. Grant proposals must be reviewed first by medical and regulatory affairs personnel. Grants will be awarded based on established scientific criteria. All grant requests must be referred to the ACIST Charitable Contribution and Grant Committee.

VI. Consulting and Other Services from Customers

A. General Considerations

ACIST enters into *bona fide* consulting and service agreements only with a small number of healthcare professionals. It is appropriate for consultants who provide *bona fide* services to be offered reasonable compensation for such services. They may be offered reimbursement for reasonable travel, lodging, and meal expenses incurred as part of those services. An agreement is not for *bona fide* services unless: (1) ACIST has a legitimate need for the services; (2) a written contract specifies the nature of the services and the basis of payment for those services; (3) the services are provided; (4) compensation paid to the consultant is consistent with the fair market value of the services provided and set in advance, and (5) ACIST documents everything specified in (1) through (4) above before payment is made. Time spent listening to detailed presentations or viewing or listening to marketing information on web sites or through other media is not for *bona fide* consulting services for which consulting fees may be paid. The Government has advised the industry that payments for "detailing" are highly suspect under the anti-kickback statute, highly susceptible to fraud and abuse, and are strongly discouraged. Generally, such fees can also not be made to consultants merely for providing access to healthcare professionals.

Consultants should be selected because they possess special knowledge or expertise that is of value. Consulting and other service arrangements may not be used to make payments to physicians for using ACIST products. The amount to be paid to a consultant must not be determined in a manner that takes account of the past, present, or future volume or value of business generated by the consultant for ACIST (e.g., prescriptions written by a physician). The documentation associated with a Consulting Agreement should memorialize the fact that there is no connection between the compensation provided and the prescribing of ACIST products. Compensation should be paid with a company check. Cash or personal checks should not be used. The General Counsel, in consultation with the CEO and COO, must approve all physicians' consulting arrangements.

B. Consultant/Advisory Board Meetings.

The following provisions apply to meetings of healthcare providers performing necessary consulting or advisory board services:

Purpose and Conduct of Meeting. Consultant or advisory board meetings must be designed to obtain genuine feedback from physicians, not to provide recreation or other amenities. Promotion of any ACIST product, even within the scope of the approved labeling, is prohibited during a consultant/advisory board meeting. There are limited acceptable purposes for conducting meetings, such as to obtain information on how a product should be most effectively marketed for a particular approved indication, or to obtain information on potential areas of clinical research for a particular product. The meeting should be only as long as reasonably necessary to perform the service and to accommodate reasonable travel arrangements. The majority of meeting time must be spent discussing the services the physician is providing. The number of healthcare professionals retained for consulting or advisory board services, and the number of meetings held, should be limited and based on the company's legitimate business needs.

ACIST representatives may attend such meetings only if appropriate in light of the activities scheduled to take place and the topics presented. For example, sales representatives would not be permitted to attend a session where consultants or advisory board members discuss off-label uses of ACIST products.

Venue, Travel, Entertainment, and Meals. It is appropriate to reimburse consultants and advisory board members for necessary, reasonable, and actual business expenses, such as travel expenses, modest meals, and accommodations. A facility suitable for the purpose of the meeting should be selected. Ancillary activities should be incidental and designed to facilitate further discussion among participants and company representatives.

ACIST will not cover any additional expenses related to a consultant's or advisory board member's spouse or other guest(s), unless they are also healthcare professionals, or staff members, and their presence would be of real benefit to ACIST. A consultant or advisory board member is always welcome to bring a spouse or guest(s) at his or her own expense.

Additional Considerations. A written agenda should be prepared and disseminated to invitees in advance of the meeting. Periods devoted to feedback from the consultants/advisory board members must comprise a significant portion, but in no case less than half of the total meeting time. An ACIST representative must keep notes of the recommendations made or feedback received during the meeting.

C. Preceptorships

ACIST may enter into preceptorship arrangements with physicians. Under these programs, a physician is compensated by ACIST to act as a preceptor for ACIST sales representatives, who are allowed to spend up to one day observing how the physician conducts his or her practice. All of the policies applicable to other Consulting Agreements apply to Preceptorship Agreements (e.g., need for a written agreement, fees based on fair market value of physician's time, etc.). Preceptorship Agreements must be approved by the General Counsel and the Chief Operating Officer. Preceptorship agreements may only be entered into sparingly. The amount of preceptorships per year for any individual physician or ACIST representative shall be controlled by the Finance Department in consultation with the General Counsel and Chief Operation Officer.

The physician must agree to explain his or her participation in the preceptorship program to patients, and must obtain the patient's written authorization before any ACIST representative is permitted to observe interactions with patients or before disclosing any individually identifiable health information about patients to any ACIST representative.

D. Consulting Arrangements to Develop Educational Materials

ACIST may contract with consultants to develop educational materials. Such educational materials must comply with FDA regulations governing promotional materials and restricting off-label promotion unless the CME sponsor is independent of ACIST within the standards established by FDA and the ACCME. If the materials are related to CME and are intended for medical audiences, they must be prepared in compliance with the current standards of the ACCME related to support by commercial interests. Such materials must also comply with anti-kickback and anti-fraud laws if the materials are related to products for which Federal reimbursement is available. Consulting and service agreements represent a purchase of services by ACIST, not a “grant” to a customer. Accordingly, as part of a consulting arrangement to develop educational materials, ACIST must obtain the legal right to use the materials or programs that are developed. In addition, compensation may not exceed the fair market value of the services provided. The arrangement must be in writing and must specify the nature of the services, the compensation for such services, and the fact that there is no connection between the compensation provided and the use of, or recommendation of, ACIST products by the healthcare professional.

E. Speaker Events

ACIST may engage individuals as promotional speakers for the Company’s products. Promotional speaker programs are those in which ACIST has control or influence over the content of the program, and the speaker is essentially acting as a promotional agent for ACIST. Statements made by promotional speakers are generally attributable to ACIST and, therefore, must comply with FDA rules for product promotion and be strictly on-label. By contrast, an independent speaker program is one in which ACIST does not have control or influence over the content of the program or the selection of the speaker.

The general rules discussed above for consulting and other service arrangements apply to the engagement of promotional speakers (e.g., need for a written service agreement, payment based on fair market value of services, etc.). If a meeting is held to train speakers, the rules outlined above for consultant meetings must be followed. The opportunity to be a speaker, or compensation for speaker services, must never be offered to a provider with “strings attached.” No *quid pro quo* is permitted. Among other things, speakers may not be selected in consideration of, or as a reward for, prescribing, using, or recommending ACIST products. All paid speaker arrangements must be approved in advance by the General Counsel and the CEO and/or COO.



VII. Charitable Contributions and Patient Assistance Programs

ACIST may make donations for genuine charitable purposes, including the sponsorship of events where proceeds are intended for legitimate charitable purposes. ACIST routinely provides contributions to charitable organizations and, in rare instances, to individuals engaged in genuine charitable missions for the support of that mission. Charitable contributions may not be made with the purpose of inducing physician(s) to recommend, prescribe, or use any ACIST product or be contingent on the performance of services. In addition to monetary charitable contributions, ACIST may donate certain products directly to indigent patients through patient assistance programs. Where a patient assistance program makes ACIST products available for use by indigent patients (either directly or through their physician), the recipient and beneficiary of the free products must commit in writing to not submit claims to third-party insurance programs for the products. Eligibility for patient assistance programs must be tied to indigence or inability to pay. Patient assistance programs should not operate as a mechanism to subsidize the operations or bad debts of customers or the cost sharing obligations of the patient.

Requests for charitable contributions must be reviewed and approved through the ACIST Charitable Contribution and Grant Committee.

VIII. Clinical Studies

Permitted Activities. If authorized by research and development (R&D) personnel, sales representatives may ask physicians if they would like to be contacted by ACIST regarding participation in clinical trials generally or with respect to a particular product. The names of interested physicians should then be forwarded to R&D for follow-up. If, on an unsolicited basis, a physician asks a question regarding participation in an ACIST-sponsored trial or regarding ACIST support for an investigator-initiated trial, the sales representative may forward the question to R&D for a response. Clinical Trial Agreements related to clinical research are the responsibility of the R&D Department.

Prohibited Activities. Sales representatives may not solicit physician participation in any specific clinical trial; participate in the selection of physicians as investigators in any specific trial; or obtain physician signatures on investigator agreements. Sales representatives may not attend meetings of R&D clinical staff or other ACIST personnel with investigators or potential investigators. Sales representatives may not participate in any clinical trial in any manner. Sales representative may not ask investigators for access to case report forms or for other information regarding a trial, or be provided such access or information by investigators.

IX. Discounts, Rebates, and Other Price Related Contracting Concessions

ACIST may offer discounts, rebates, credits, and other price concessions to customers in certain circumstances. Discounts include up-front price reductions, rebates, credits, promotional allowances that are in the nature of price reductions, stocking allowances, price protection programs, and the like. Discounts and other price concessions may be offered to entities such as wholesalers or retail pharmacy chains that purchase products directly from ACIST or to customers such as managed care organizations, group purchasing organizations, pharmacy benefit managers or physicians who purchase products from a distributor under a chargeback or rebate arrangement. Unlike other types of arrangements with customers, the level of any price concessions may be based on the volume or value of items purchased or used by a customer, market share, patient medication compliance, or similar measures, if properly structured. The value of any price concession or value-added service (discussed below) must be included for purposes of reporting best price to the Centers for Medicaid and Medicare Services.

Because discounts and other price concessions can be viewed as remuneration to the customer to induce the purchase of products or services reimbursable under the Federal health care programs, all discount arrangements raise a concern under the anti-kickback statute. As such, whenever feasible, discount arrangements should be structured to fit within the anti-kickback statutory exception and/or safe harbor. Sales representatives are generally not involved in proposing, arranging for, or granting discounts, rebates, or other price-related contracting concessions.

X. Sales Representatives and Product Promotion

ACIST's operating procedures require prior internal approval for all marketing and promotional materials (including without limitation sales aids, flashcards, slide presentations, sales brochures, reprints, and patient education pieces) to ensure compliance with applicable FDA regulatory requirements.

Under the FDA rules for advertising and promotion, statements to healthcare providers must be within the approved prescribing information and limited to approved claims. ACIST representatives may not minimize the risks associated with the Company's products. Sales representatives must make sure that the sum total of any presentation to a healthcare professional is balanced and includes disclosure of the product's risks as well as the benefits associated with its use.

Sales representatives are responsible for ensuring that they always use the most current approved promotional materials and related full prescribing information. Sales representatives are not permitted to promote the Company's products for "off label use" or to make representations, warranties or claims about the Company's products which are inconsistent with the approved product labeling. Approved materials that sales representatives leave behind may not be underlined, highlighted, annotated, or otherwise marked up by any ACIST representative.

Comparisons of safety, effectiveness, and/or tolerability between products, and related superiority claims, may generally be made only if supported by scientific evidence or head-to-head controlled clinical trials. Sales representatives may not make comparative or superiority claims regarding competitive products unless they are specifically instructed to do so by the applicable Product Manager or through a Sales Training session. Sales representatives may not promote a new product, or a new indication for an existing product, to healthcare professionals unless and until they receive official notice from the Regulatory Department.

XI. Provision of Reimbursement and Other Economic Information

ACIST may support accurate and responsible billing to Medicare and other payors by providing reimbursement information to healthcare professionals regarding ACIST's products, including identifying appropriate coverage, coding, or billing of ACIST's products, or of procedures using those products. ACIST may also provide information designed to offer technical or other support intended to aid in the appropriate and efficient use or installation of an ACIST products. This information may only be provided by an ACIST representative once it has been approved by the Regulatory and Legal Departments. However, it is inappropriate for ACIST to provide this technical or other support for the purpose of unlawfully inducing healthcare professionals to purchase, lease, recommend, use, or arrange for the purchase, lease or prescription of an ACIST product.

XII. Overview of Legal and Regulatory Standards

Since the U.S. Government is the country's largest purchaser of healthcare services, Congress has enacted a number of laws designed to curtail fraud and abuse in the healthcare industry. A number of these laws and third-party guidelines may apply to marketing practices for our medical device products. Violations of these laws can lead to fines, imprisonment, or exclusion from health care programs. Both the pharmaceutical and device manufacturing industries have come under intense scrutiny by the government sparking numerous investigations and settlements focused on interactions with healthcare providers. A brief summary of the laws and guidelines most likely to affect you follows. Additional requirements may apply.

Anti-Kickback Laws. It is a criminal offense under the Federal anti-kickback statute to knowingly and willfully offer or pay any remuneration to induce referrals or the purchase of services reimbursable by a federal health care program. The anti-kickback statute prohibits any person from offering or paying any remuneration (including any kickback, bribe, or rebate) directly or indirectly, overtly or covertly, in cash or in kind to any person to induce such person (A) to refer an individual for the furnishing or arranging for the furnishing of any item or service for which payment may be made in whole or in part under a Federal health care program, or (B) to purchase, lease, order, or arrange for or to recommend the purchasing, leasing, or ordering of any good, facility, service, or item for which payment may be made in whole or in part under a Federal health care program.

It is, therefore, illegal under federal law to pay or receive remuneration of any kind to induce a referral, purchase, or a recommendation for items or services for which reimbursement is available under a federal health care program. These prohibitions, are very broad, and should be observed as standard practice. They can apply to the giving or receiving of anything of value, including not only cash and “kickbacks,” but also free items or services or the opportunity to earn money. Because the anti-kickback laws are so broad, “safe harbors” were created to recognize certain legitimate promotional and marketing activities. Safe harbors describe remuneration for specific activities that are safe from government challenge. The American Medical Association’s guidelines for ethical physician practices reflect the prohibitions of the anti-kickback statute.

States have enacted similar laws that apply to goods or services covered by state health care programs, and some state laws extend to goods or services covered by even private insurance (so-called “all payer states”). The anti-kickback laws are a potential issue whenever ACIST provides anything of value to physicians or other persons in a position to influence the prescribing or utilization of any product for which federal reimbursement is available, whether the product is distributed by ACIST or an affiliate of ACIST.

False Claims and Other Billing Standards. The Federal False Claims Act prohibits the knowing submission of false claims to the government for payment or approval. This, and other federal and state laws, prohibit the knowing submission of “false” or “fraudulent” claims to government programs or other insurers. Although ACIST typically does not submit claims to payers, the False Claims Act has also been used to provide an additional mechanism to penalize violators of the anti-kickback statute for inappropriate relationships with referral sources. Specifically, the “tainted claims” theory has been used by the government (and whistleblowers) to allege that the provider submitted a claim to a Federal healthcare program that was “tainted” by the illegality of actions that predated the submission of the claims. The claim is deemed to be tainted because the person/entity submitting the claim certified compliance with all applicable laws and regulations. In other words, the falsity of the claim comes from regulatory non-compliance, not from a deficiency in the claim itself. Additionally, the routine waiver of co-payments or deductibles may result in a violation of the False Claims Act. Sale representatives should *not* provide any advice relating to reimbursement for our products.

State Professional Practice Laws. A handful of states have either enacted or proposed laws placing limits on interactions with healthcare professionals. For instance, Vermont and Minnesota have enacted special dollar limits on gifts or items provided to physicians, or enacted special government disclosure requirements. New Jersey requires that companies maintain a website listing physicians to whom they have made payments.

Third-Party Guidelines. Various private groups have issued standards or guidelines for medical device manufacturers governing the promotion of medical products. Two of the most important standards are the Code of Ethics on Interactions with Healthcare Professionals implemented by The Advanced Medical Technology Association (“AdvaMed”) which became effective on January 1, 2004 and the Standards for Commercial Support of Continuing Medical Education issued under the Accreditation Council for Continuing Medical Education (“ACCME”) as updated in 2007. Please note that the various guidelines referenced above are merely recommended standards and are not legally binding upon ACIST. This Code of Ethics has been prepared after a careful review of the above referenced group guidelines, applicable laws, rules and regulations, the Company’s business practices and its desire to conduct its operations in accordance with the highest standards of business ethics. Thus, this Code of Ethics is not intended to be identical to the AdvaMed code or the ACCME standards and in some cases the requirements under this Code of Ethics may be more or less stringent than those recommended by AdvaMed or the ACCME.

XIII. Frequently Asked Questions

A list of frequently asked questions is attached hereto as Annex A for your reference.

XIV. Compliance and Questions

Your compliance with this Code of Ethics will constitute an important measure of your job performance. A violation of this Code of Ethics may lead to serious disciplinary action up to and including termination of employment. Under no circumstances shall any employee or other representative of ACIST compensate any healthcare professional in any manner for the purchasing, recommendation, use or prescribing of ACIST products or services inconsistent with this Policy.

In adopting this Code of Ethics, ACIST recognizes that not all companies with which we compete will necessarily adhere to the same standards. If you become aware of practices of competitors that conflict with our standards and potentially place ACIST at a significant competitive disadvantage, you should review these situations with the General Counsel, as appropriate. Competitors' practices do not justify a deviation from this Code of Ethics.

This Code of Ethics is intended to guide you in performing legitimate marketing and promotional activities. All activities should comply with this Code of Ethics as well as all other applicable laws, rules and regulations. If you have any questions or comments regarding this Code of Ethics or regarding whether a proposed activity is appropriate, please check with the General Counsel before engaging in such activity.

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Note: This Code of Ethics may be amended at any time in the sole discretion of ACIST. ACIST will provide notice of any such revisions.

ANNEX A

FREQUENTLY ASKED QUESTIONS

Q: Who are “healthcare professionals?” Does the term include non-clinical people who make product purchasing decisions? Does it include decision-makers within GPOs?

A: The term “healthcare professional” includes those individuals and entities that purchase, lease, recommend, use, arrange for the purchase or lease of, or prescribe ACIST’s medical technology products. This includes both clinical and non-clinical people who make product-related decisions of the type listed. It also includes decision-makers within group purchasing organizations (“GPOs”). This is a broad definition, intended to encompass anyone with material influence over purchasing decisions. Note that there may be laws and other codes applicable to relationships with healthcare professionals, including relationships with government employees.

Q: Does the Code of Ethics apply only to licensed healthcare professionals or to administrators and other healthcare business people as well?

A: The Code uses the term “healthcare professional” as a term of art that applies to any person that is in the position to purchase, lease, recommend, use, arrange for the purchase or lease of, or prescribe a member’s medical technology product in. This means that the Code applies both to licensed healthcare professionals and any other people in a position to make product-related decisions of the sort listed, such as hospital purchasing agents, physician’s practice managers and management within a group purchasing organization.

Q: Can ACIST take a healthcare professional to dinner as part of a sales call?

A: Yes. Dinner may be included as part of a sales call so long as a sales representative or a speaker is providing information regarding the Company’s product or substantial scientific or medical educational information. In such cases, the meal should be of modest value by local standards and the nature and location of the meal should be conducive to such an exchange of information.

Q: What do the terms “modest,” “occasional,” and “hospitality” mean?

A: The Code seeks to balance an interest in civility with the desire to avoid even the appearance that hospitality may be used as an inducement to purchase or refer for product. Accordingly, the Code differentiates, depending on the type of meeting, the type of meals and other hospitality that may be extended to healthcare professionals by ACIST.

Taking into consideration regional differences, “modest” means moderate value and “occasional” means infrequent. Meals and hospitality should be ancillary to a legitimate purpose.

The Code contemplates that any “hospitality” extended by a host would be “modest and occasional.” For example, hospitality might include modest and occasional receptions. The Code contemplates that any hospitality should be subordinate in time and focus to the purpose of the meeting. The Code addresses meals, travel, and lodging separately in a variety of scenarios.

Q: Does the Code of Ethics apply to gifts, meals, hospitality and other benefits provided by ACIST to government employees?

A: Yes. The Code applies to gifts, meals, hospitality and other benefits provided by ACIST to a government employee if the employee is a healthcare professional. ACIST representatives also should be aware that there may be specific legal restrictions on

providing gifts and other benefits to government employees, and that these restrictions may, in some cases, preclude even gifts or other benefits permitted by the Code.

Q: May an ACIST representative provide support for a healthcare professional-sponsored social event, such as an office holiday Party?

A: No. Such support would be inappropriate.

Q: What types of gifts are acceptable to give healthcare professionals?

A: Examples of what types of gifts an ACIST representative may give healthcare professionals include:

- Practice-related promotional items, such as pens and notepads, where such items are of nominal value.
- Medical or scientific educational materials of modest value (under \$100), such as medical textbooks, including those on CD-ROM, or medical journal subscriptions. Slightly more expensive gifts, such as medical textbooks or stethoscopes, may be given to a physician, but only on an infrequent basis.
- Occasional, modest food items in conjunction with scientific or medical educational presentations or discussions.

Q: What types of gifts are not acceptable to give to healthcare professionals?

A: Cash gifts are never allowed, nor are items that primarily do not benefit patients and are not associated with the healthcare professional's practice, even if the gift is of nominal in value. Gifts over \$100 in fair-market value are generally not appropriate.

Q: Can ACIST provide a healthcare professional with a free stethoscope or medical text?

A: Yes. Slightly more expensive educational materials or medical equipment may also be provided so long as the gift is primarily for patient treatment or benefit and provided only on an occasional basis.

Q: Can ACIST provide a free computer or fax machine to a physician office?

A: No. Computers or fax machines are not of modest value and may readily be used for purposes unrelated to the physician's practice or patient benefit. The anti-kickback statute includes safe harbors for donations of electronic prescribing and electronic health records.

Q: We are able to obtain a 50% volume discount on electronic organizers. Can we give them to physicians?

A: No. "Modest" value is determined by the fair market value, not the actual cost to ACIST. In addition, all gifts must entail a primary benefit to the patient or the healthcare practitioner's practice. An electronic organizer could be used for purposes unrelated to such benefit and, therefore, would not be appropriate. The anti-kickback statute includes safe harbors for donations of electronic prescribing and electronic health records.

Q: Does the Code address arrangements between ACIST and a healthcare professional relating to licensing a new medical technology or product to ACIST?

A: Interactions relating to product development and intellectual property would be subject to the general principles that ACIST shall encourage ethical business practices and socially responsible industry conduct and shall not use any unlawful inducement in order to sell, lease, recommend, or arrange for the sale, lease, or prescription of, ACIST products.

- Q: May ACIST designate attendees or faculty who will speak at third-party educational conferences?
- A: No. The Code contemplates that an independent third party will select faculty and attendees. The Code does not preclude ACIST from recommending a knowledgeable faculty member. The ultimate selection should be made by the conference sponsor.
- Q: Can ACIST provide an educational grant to support the attendance of a healthcare professional at a third-party educational conference?
- A: The Code contemplates that grants would be made to the conference sponsor or training institution, which will select the attendees. Furthermore, the Code contemplates that the benefited attendees would be medical students, residents, fellows, or other healthcare professionals in training.
- Q: If ACIST provides a grant for a medical student to attend an educational conference, may the funds be used to cover both travel expenses and registration fees?
- A: Yes, provided that the grant is given directly to a training institution or a third party educational conference sponsor.
- Q: May ACIST conduct a product sales or promotional meeting at a resort location and pay for a healthcare professional's travel to the meeting for purposes of providing product information and negotiating sales terms?
- A: Generally, this would be not appropriate. The location should be evaluated for consistency with the provisions in Section II, which state that it may be appropriate at a sales or promotional meeting to provide occasional hospitality only in the form of "modest meals and receptions" and "conducive to the exchange of information," and, with respect to providing travel, that the travel be "necessary." Furthermore, the Code provides for limited special circumstances of "plant tours and demonstrations of non-portable equipment" as specific examples of when travel might be necessary.
- Q: May an ACIST employee or agent pay for hospitality for a healthcare professional that ACIST could not provide under the Code, if ACIST neither pays for the hospitality nor reimburses the employee or agent?
- A: No. The Code should be viewed as applying to ACIST's employees and agents whether or not they are paying for the benefit out of their own pocket. There may be situations, however, where it is appropriate for an ACIST employee and agent to engage in hospitality with a healthcare professional so long as both ACIST and the healthcare professional each pay their own way.
- Q: May ACIST pay for hospitality hosted by an entity (such as a distributor) who markets ACIST's products, when the hospitality does not conform to the Code?
- A: No. ACIST should always promote adherence to this Code of Ethics when they are engaged in marketing ACIST's products. ACIST should never knowingly encourage or condone an intermediary's engaging in conduct that would be prohibited by this Code. ACIST may not do indirectly what it may not do directly.
- Q: What are some examples of branded promotional items of minimal value that are "related to a healthcare professional's work or for the benefit of patients"?
- A: Pens and notepads that could be used in the healthcare professional's work environment are examples of minimal value, branded promotional items appropriate as

gifts. Golf balls and tee-shirts are not allowed, as they are neither related to the healthcare professional's work nor for the benefit of patients.

Q: May ACIST provide a small gift such as flowers or a fruit basket to a healthcare professional or to a healthcare professional's family upon significant life events such as a birth, death, or serious illness?

A: Yes. Assuming such gift is consistent with the spirit of this Code of Ethics. A significant life event would not be a holiday.

Q: Is the value of a gift to a healthcare professional determined by ACIST's acquisition cost or by the fair market value of the item?

A: The objective of the Code of Ethics is to avoid the possibility that the healthcare professional will appear to be improperly influenced by the receipt of the gift. Therefore, fair market (retail) value should be used for assessing the value of the gift to the healthcare professional.

Q: Is the \$100 value gift limit determined on a per-gift or per-year basis?

A: An ACIST representative may occasionally provide modest gifts to healthcare professionals, but only if the gifts benefit patients or serve a genuine educational function. Other than the gift of medical textbooks or anatomical models used for educational purposes, any gift from ACIST should have a fair market value of less than \$100. The \$100 limit is intended to be a per-gift amount; however, consideration should be given to the frequency of providing gifts to any one individual (note the requirement that the gifts be only occasional). Repeated gifts to the same person, each with a value below the \$100 threshold, could violate the spirit of the Code. Similarly, gifts to multiple members of a physician practice group or to multiple members of a hospital materials management or faculty department could also violate the spirit of the Code.

Q: May ACIST give gifts to staff of a healthcare professional who are not themselves healthcare professionals?

A: Gifts given to the staff of a healthcare professional should be treated as though they are given to the healthcare professional and are subject to the provisions of this Code.

Q: Is it appropriate to demonstrate that a product can be used in an economically efficient manner?

- A: It may be appropriate for ACIST to provide accurate information relating to the costs, savings and revenues associated with the use of a particular product. Without this information, it may be difficult for a healthcare professional to properly evaluate whether it is economically feasible or desirable to purchase any particular product.
- Q: What is an example of a grant or donation to “individuals engaged in genuine charitable missions for the support of that mission”?
- A: One example is providing medical devices to individuals who perform volunteer disaster relief aboard. Supporting disaster relief work may be appropriate under the Code, notwithstanding that the individuals or group are acting as independent volunteers and not under the umbrella of a not-for-profit, charitable organization.
- Q: May ACIST make a charitable contribution to a not-for-profit institution to pay the registration or seminar fees and travel expenses for one or more of its affiliated healthcare professionals to attend a third-party educational conference?
- A: This contribution should be evaluated under Section V: Because Section V does not permit ACIST to pay directly for the registration or seminar fees and travel expenses of a healthcare professional’s attendance at a third-party educational conference (except for healthcare professionals in training), this type of support should not be provided indirectly as a charitable contribution to the healthcare professional’s not-for-profit institution for the purpose of defraying the costs of a particular individuals’ attendance. However, it would be appropriate for ACIST to provide funding to a third-party conference that the conference sponsor could apply to defray the reasonable travel expenses of faculty selected by the sponsor, or to reduce the registration or seminar fees for all attendees.
- Q: May ACIST make a charitable contribution to pay for a clinical fellow?
- A: Yes. ACIST may make a charitable contribution to subsidize a clinical fellow if he/she is in a genuine fellowship program affiliated with a teaching institution.